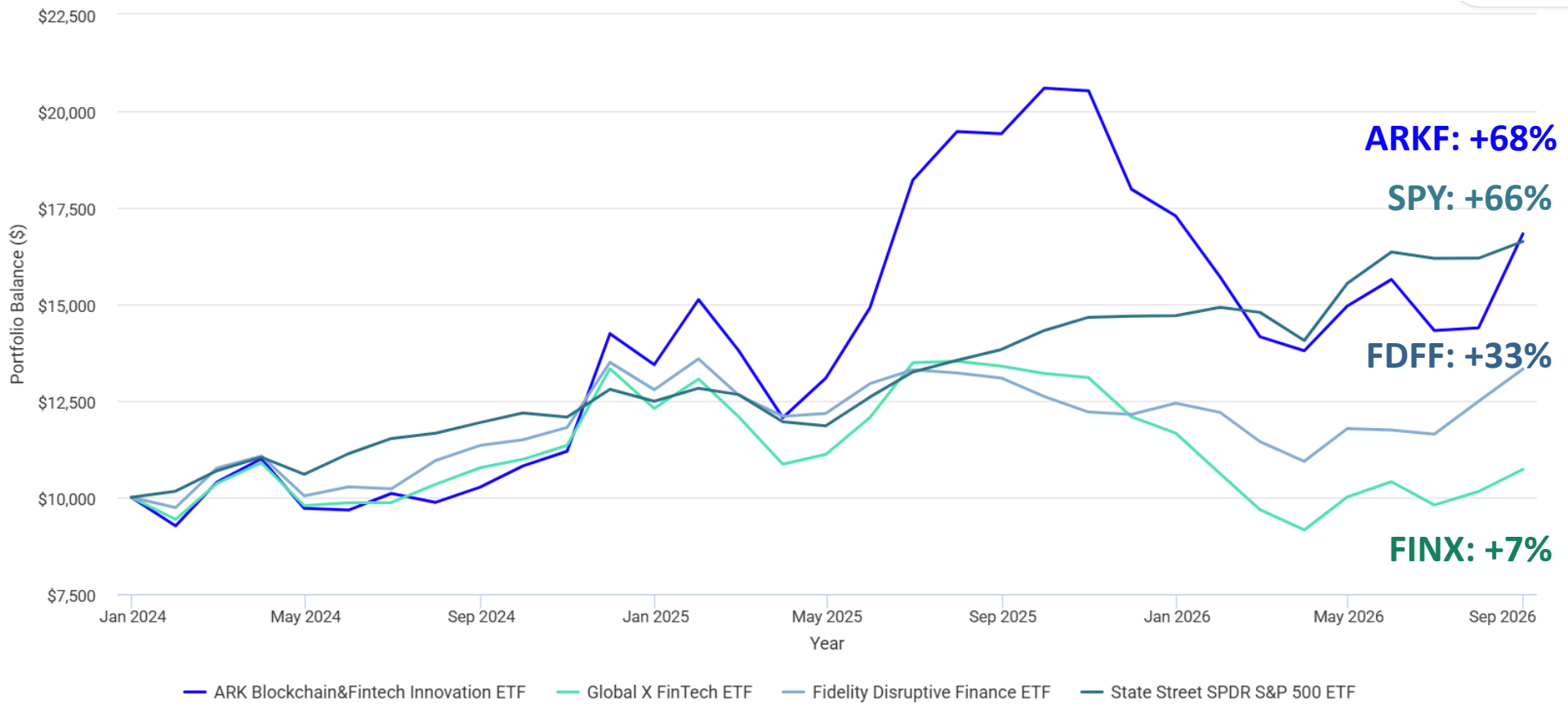
A selective entry into financial digitization

ARKF • FINX • FDFF | Long-only thematic equity assessment

Xiaowen Chen (Xavier)
Parag Verma
Samuel Moshiashvili
Jared Mount
Theofilos Kelemis



Performance (2024 Jan to 2026 Sep)



Sources: https://www.portfoliovisualizer.com/backtest-portfolio#analysisResults, Code: ARKF, FDFF, FINX, Benchmark: SPY, data fetched Sep 30, 2026

Drawdown (2024 Jan to 2026 Sep)



Sources: https://www.portfoliovisualizer.com/backtest-portfolio#analysisResults, Code: ARKF, FDFF, FINX, Benchmark: SPY, data fetched Sep 30, 2026

Reasons behind drawdown

Pressure / offset	Issuer evidence
Macro risk aversion	2025 tariff uncertainty and Q1 2026 geopolitical tensions raised inflation and growth concerns. [1]
Payments earnings pressure	Fiserv reset 2025 organic growth guidance to 3.5–4%. Fidelity cited slower growth and pricing concerns. [2, 3]
Crypto weakness	ARKF Q2 2026: Circle −2.22 pp, Coinbase −1.00 pp and Bitcoin ETF −0.85 pp of return contribution. [4]
Offsets within FDFF	DBS (+50%) was FDFF's top contributor. Fidelity exited Adyen (−40%) and reduced payments exposure. [3]

Sources:
[1] ARK Investment Management, Q1 2026 CIO commentary.
[2] Fiserv, Q3 2025 results (Oct. 29, 2025).
[3] Fidelity, Disruptive ETFs PM Q&A (May 31, 2026), pp. 4–5.
[4] ARK, Q2 2026 Quarterly Report, p. 15.

Performance (2024 Jan to 2026 Sep)

Metric	ARK Blockchain&Fintech Innovation ETF	Global X FinTech ETF	Fidelity Disruptive Finance ETF	State Street SPDR S&P 500 ETF
Start Balance	$10,000	$10,000	$10,000	$10,000
End Balance	$16,820	$10,723	$13,319	$16,624
Annualized Return (CAGR)	21.53%	2.65%	11.35%	21.00%
Standard Deviation	34.81%	24.36%	18.59%	11.94%
Best Year	34.34%	23.03%	27.87%	24.89%
Worst Year	-2.69%	-8.07%	-2.75%	13.08%
Maximum Drawdown	-33.02%	-32.29%	-19.51%	-7.58%
Sharpe Ratio	0.60	0.04	0.43	1.30
Sortino Ratio	1.10	0.07	0.74	2.54

Why Fintech industry?

Sources: https://www.portfoliovisualizer.com/backtest-portfolio#analysisResults, Code: ARKF, FDFF, FINX, Benchmark: SPY, data fetched Sep 30, 2026

Tailwinds

THE INDUSTRY

Payments, digital banking, lending, wealth platforms and financial software monetize the shift to digital transactions.

WHY INVEST NOW

Resilient payment activity and emerging stablecoin rules support selective exposure to scalable financial infrastructure.

WHAT MUST BE UNDERWRITTEN

Adoption must translate into durable margins and cash flow. Competition, credit losses and higher rates can absorb the gains.

+10%

Visa payments volume
Year over year, constant dollars

+13%

Visa cross-border volume
Year over year, constant dollars

Sources: Visa FYQ3 2026 earnings release (quarter ended June 30); Federal Reserve, September 24, 2026; analyst assessment.

Policy clarity creates opportunity and new compliance costs

Regulatory status as of September 30, 2026

Policy area	Verified status	Investment implication[1]
U.S. stablecoins	GENIUS framework enacted; Fed implementation proposals issued September 24.	Clearer route to regulated issuance; reserve and capital rules constrain economics.
U.S. open banking	CFPB reconsidering data-rights rules, including access fees, privacy and security.	Data portability could improve competition; timing and commercial terms remain risks.
EU crypto assets	MiCA's maximum transition for existing service providers ended July 1, 2026.	Authorization raises barriers to entry and compliance costs for cross-border platforms.

Watch: Treasury expects GENIUS licensing requirements to begin January 18, 2027.
[1]Investment implications are analyst judgments; proposals are not final rules.

Sources: Federal Reserve (9/24/26); U.S. Treasury (GENIUS rulemaking); CFPB data-rights rulemaking; ESMA, MiCA Article 143.

The cycle rewards cash generation and exposes funding dependence

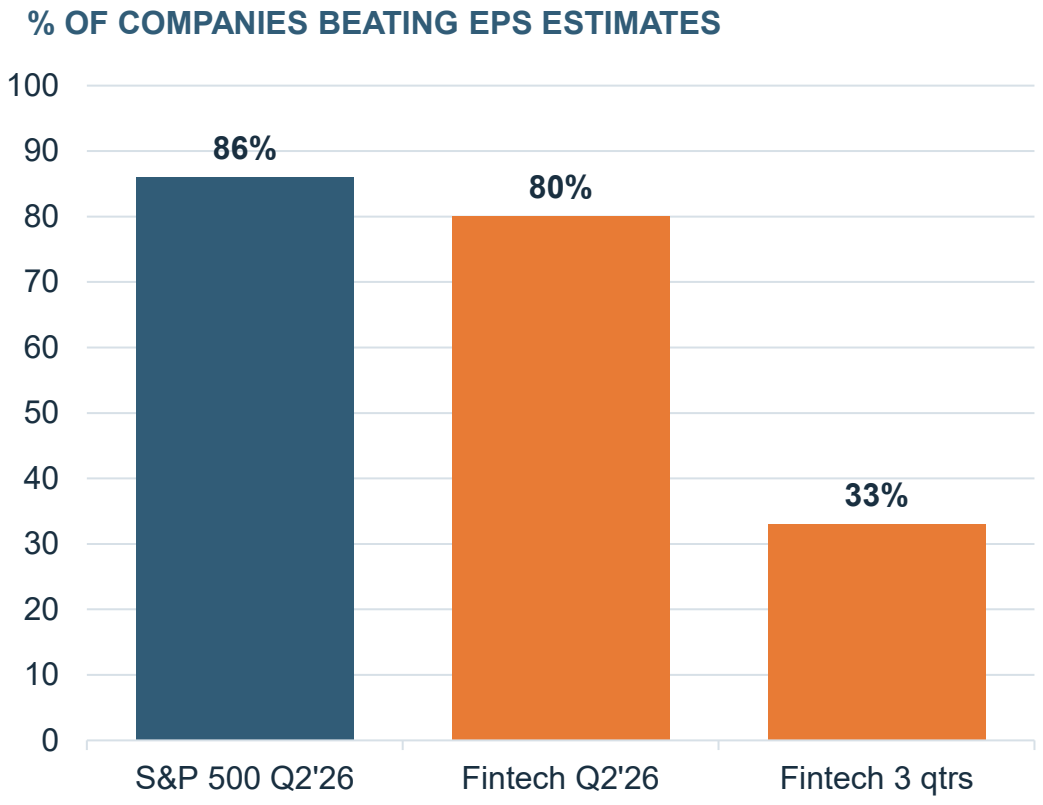
Fed target range: 3.75–4.00% after a 25 bp increase on September 16

Catalyst to monitor	Upside pathway[1]	Downside pathway[1]
Rates and inflation	Lower discount rates can support growth valuations.	August CPI: +3.4% year over year; renewed tightening raises funding costs.
Consumer and credit	Steady spending supports transaction revenue and operating leverage.	Weak borrowers, higher losses and tighter funding can hurt lenders and BNPL providers.
AI and payment rails	Automation can reduce fraud and servicing costs; new rails expand use cases.	Pricing pressure, cyber losses and disintermediation can offset volume growth.

Committee stance: invest in structural adoption, but require evidence of monetization.
[1]Scenario analysis, not forecasts or assigned probabilities.

Sources: Federal Reserve FOMC statement (9/16/26); BLS August 2026 CPI release (9/11/26); Visa FYQ3 2026; analyst analysis.

Fintech holdings beat less reliably than the S&P 500

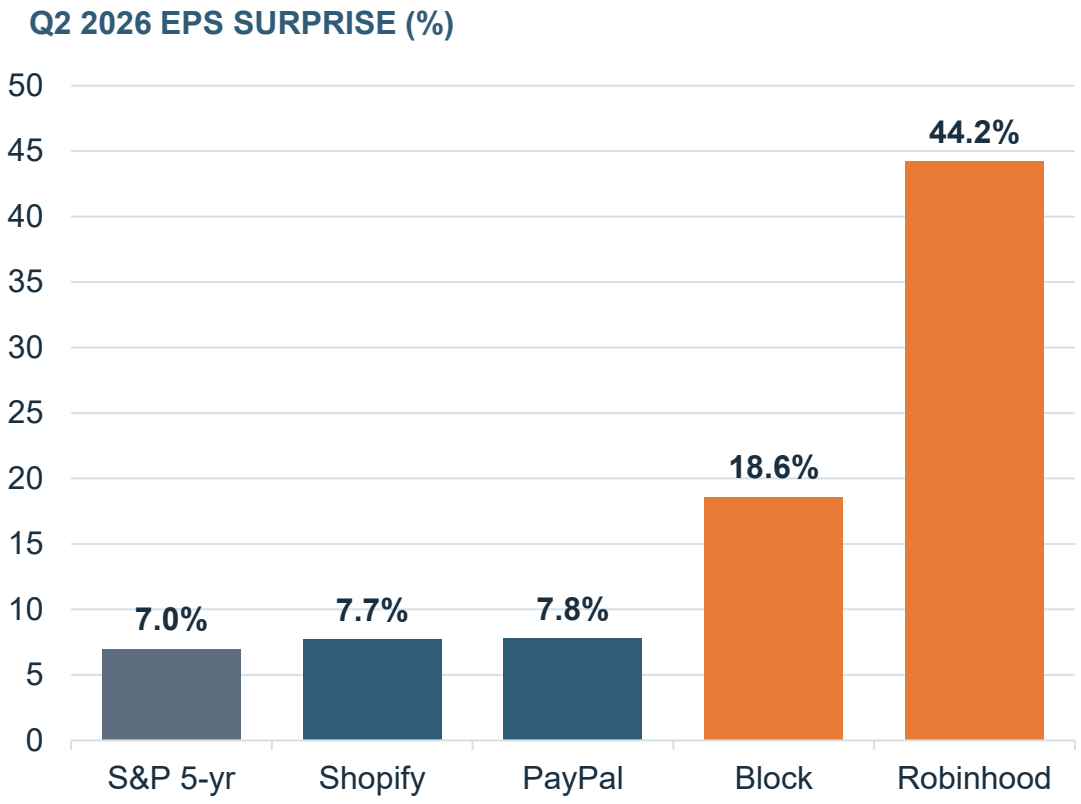


- S&P 500: 86% beat in Q2 2026.
- Fintech top 5: 4 of 5 beat in Q2.
- Past 3 quarters: only 5 of 15 beat.
- Small sample; GAAP vs. adjusted mismatches possible.

Q2 looked like the index. The prior 3 quarters did not

Sources: FactSet Insight (Aug 7, 2026) | Perplexity Finance: earnings history

When fintech beats, the margin is often bigger

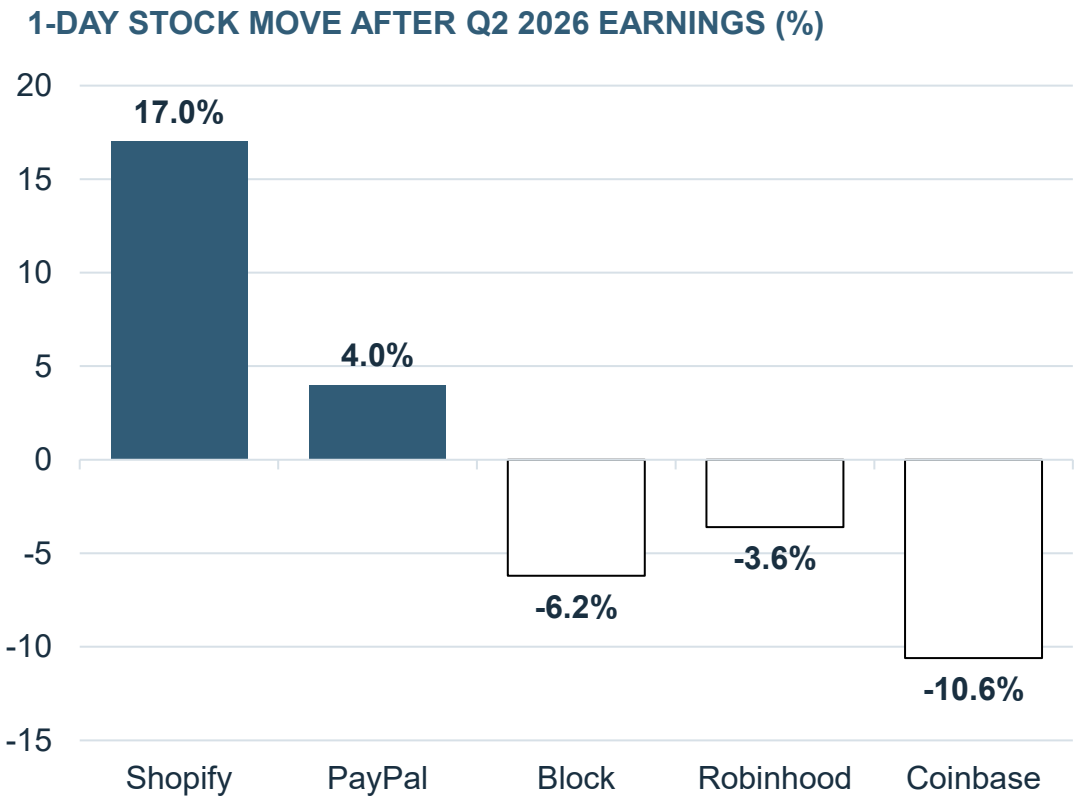


- Shopify and PayPal: ~8%, near the S&P norm.
- Block +19%, Robinhood +44%.
- Coinbase missed: -$1.36 vs. +$0.15.

Typical S&P beat is ~7%. Robinhood and Block beat by far more

Sources: FactSet Insight (Aug 7, 2026) | Perplexity Finance: earnings history

The expectations game: a beat is already priced in



- All but Coinbase beat EPS.
- Block and Robinhood beat but fell.
- Guidance and flows set the move.

Block and Robinhood beat EPS and still fell

Sources: Perplexity Finance: earnings history | FactSet Insight (Aug 7, 2026)

Next catalysts: Q3 earnings land Oct 27 to Nov 4

Company	Report date	Q3 EPS est.	Avg 1-day move
PayPal (PYPL)	Oct 27	$1.32	9.0%
Coinbase (COIN)	Oct 29	-$0.24	9.0%
Shopify (SHOP)	Nov 3	$0.44	11.6%
Block (XYZ)	Nov 3	$1.02	9.4%
Robinhood (HOOD)	Nov 4	$0.53	9.1%

Typical fintech earnings move is 9-12% in one day

Sources: Perplexity Finance: earnings history | Perplexity Finance: consensus estimates

Pro forma = adjusted = Street = non-GAAP

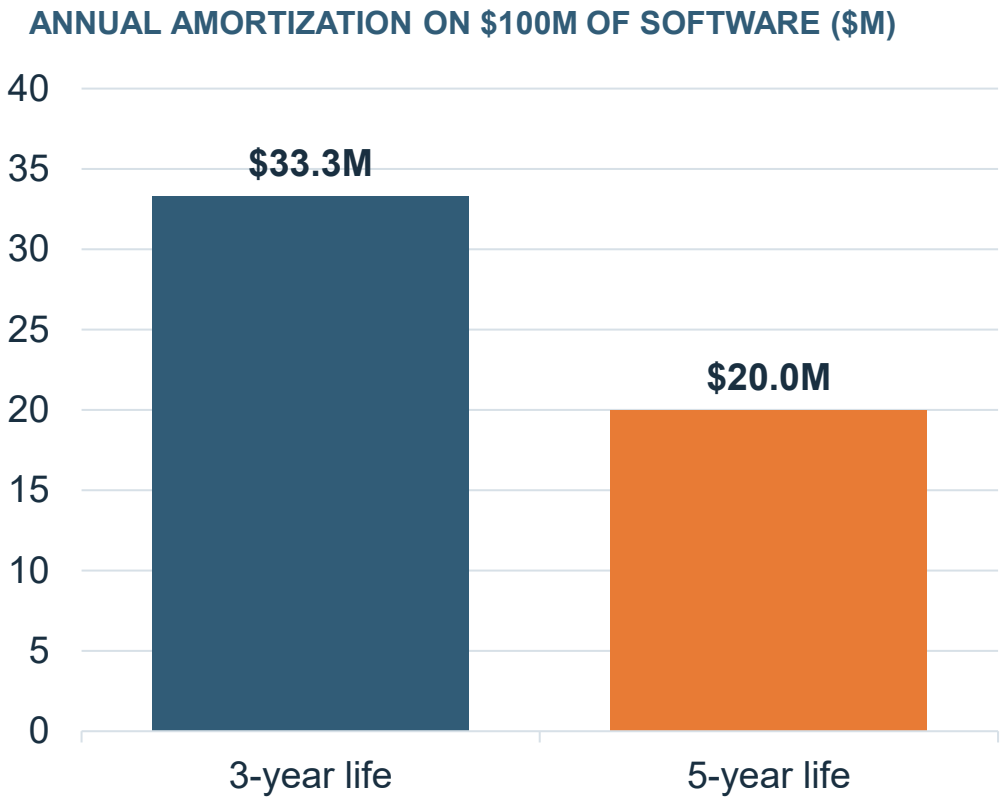
Company	Reported EPS	Consensus	Quarter
Block (XYZ)	-$0.52	$0.68	Q1 2026
Coinbase (COIN)	-$1.36	$0.15	Q2 2026
Shopify (SHOP)	-$0.45	$0.32	Q1 2026
Block (XYZ)	$1.02	$0.86	Q2 2026

Block's FY2026 consensus EPS is $4.06, but consensus net income is just $1.0B. Check which basis a number uses.

Fintech GAAP and Street EPS can diverge by a lot

Sources: SEC: Non-GAAP C&DIs | Perplexity Finance: earnings history | Perplexity Finance: consensus estimates

Accounting lever: capitalized software lives

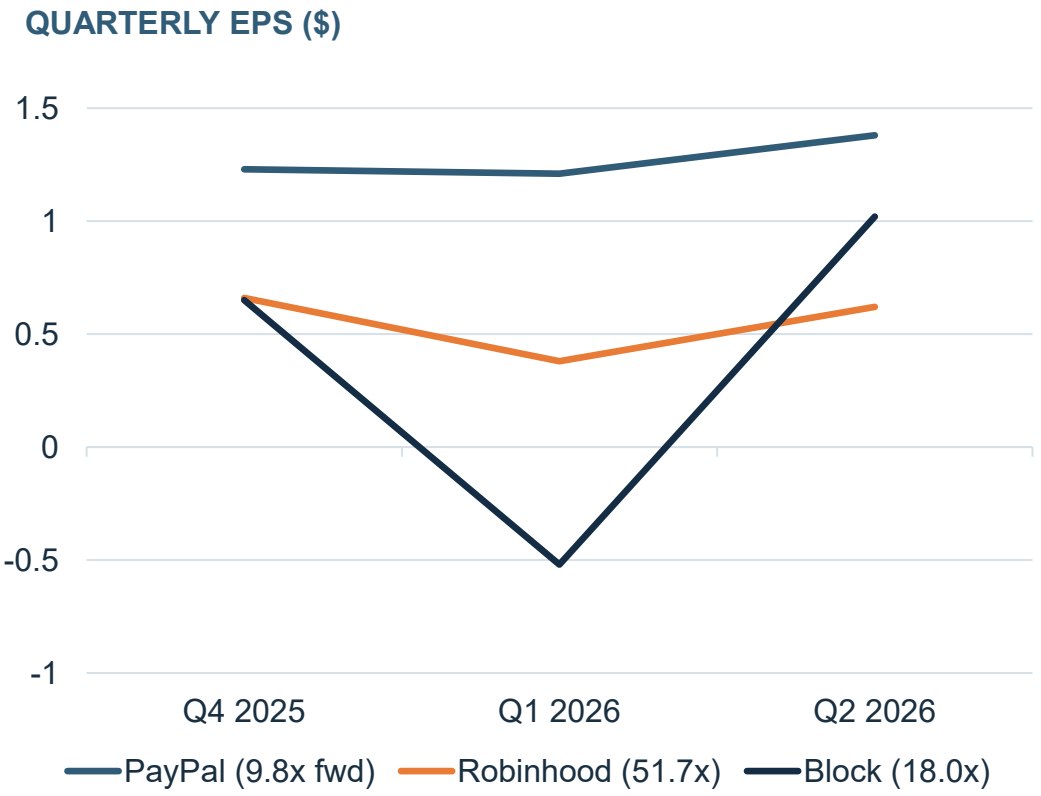


- Longer life: +$13.3M pre-tax earnings per year.
- No change in cash flow.
- Class example: 4-year to 5-year schedule.
- Illustrative example.

Same cash, higher EPS. Check footnotes for changes

Sources: SEC Financial Reporting Manual | SEC: Non-GAAP C&DIs

Steady earnings vs. swings: PayPal, Robinhood, Block

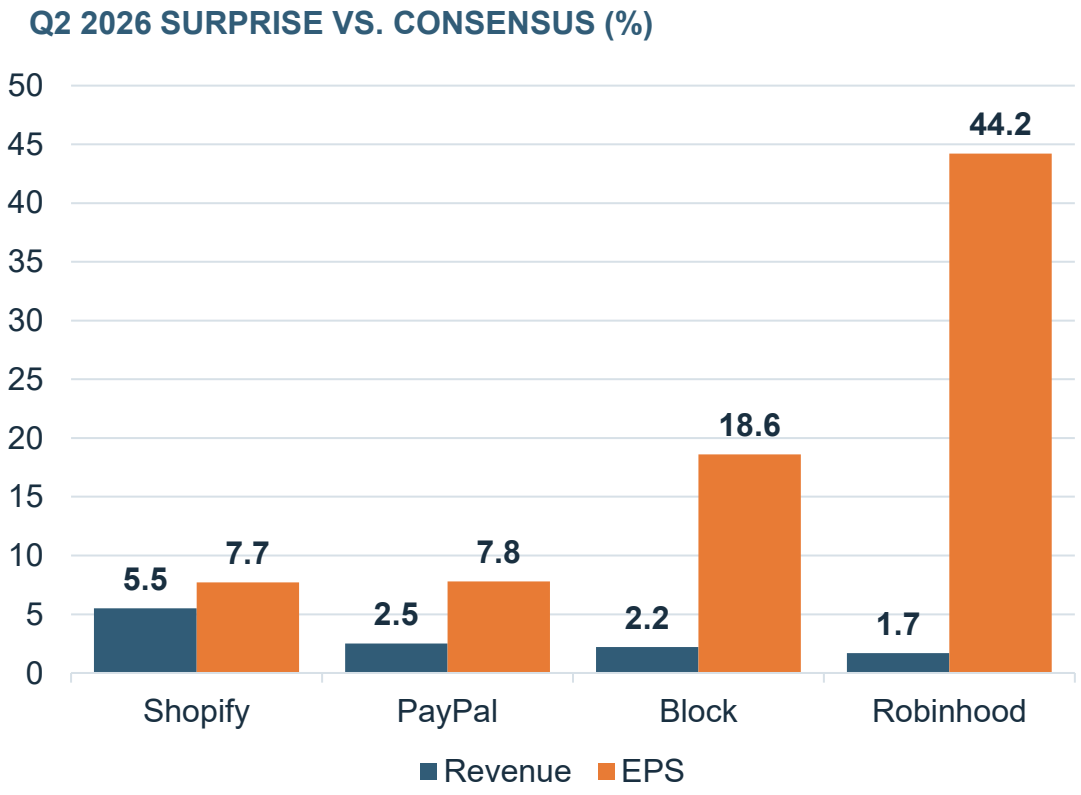


- PayPal: steadiest EPS, lowest P/E.
- Robinhood: higher growth, 51.7x.
- Smoothing needs reserves; the 'jar' can run out.

Smooth EPS helps, but growth sets the multiple

Sources: Perplexity Finance: earnings history | Perplexity Finance: consensus estimates

Revenue beats are small. EPS beats are big

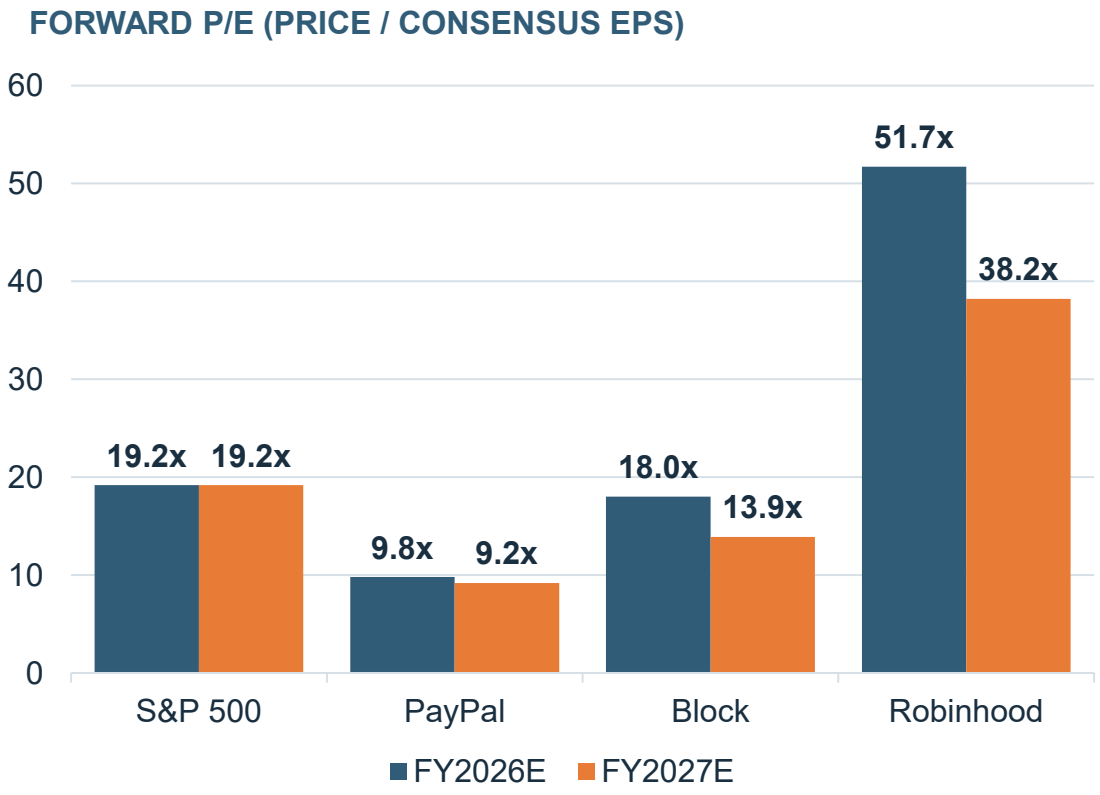


- Revenue beats: 1.7% to 5.5%.
- EPS beats: 7.7% to 44.2%.
- Sales need customers; EPS has more levers.

Earnings amplify small sales beats, and have more levers

Sources: Perplexity Finance: earnings history | SEC: Non-GAAP C&DIs

Forward P/E: PayPal is cheap, Robinhood is not



- Higher EPS growth lowers forward P/E.
- Coinbase: FY2026 EPS negative; FY2027 69x.
- S&P 500 benchmark: 19.2x.

S&P 500 forward P/E is 19.2. Fintech spans 10x to 69x

Sources: Perplexity Finance: consensus estimates | FactSet Earnings Insight

Forecast method: headwinds, tailwinds, then a range

Headwinds	Tailwinds	Range
Fed hikes, crypto swings, open-banking limbo	Stablecoin rules, tokenization, buybacks, EPS growth	Bear / base / bull ETF price

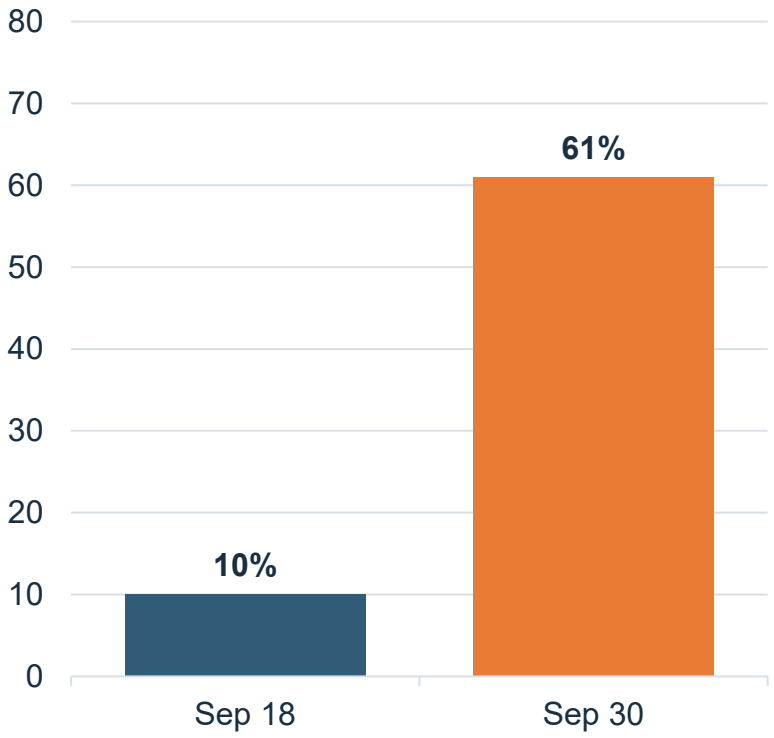
Case	EPS	P/E	Price
Bear	Lower	Lower	Low end
Base	Consensus	Current	Middle
Bull	Higher	Higher	High end

Price = EPS x P/E. Give a range, not a point

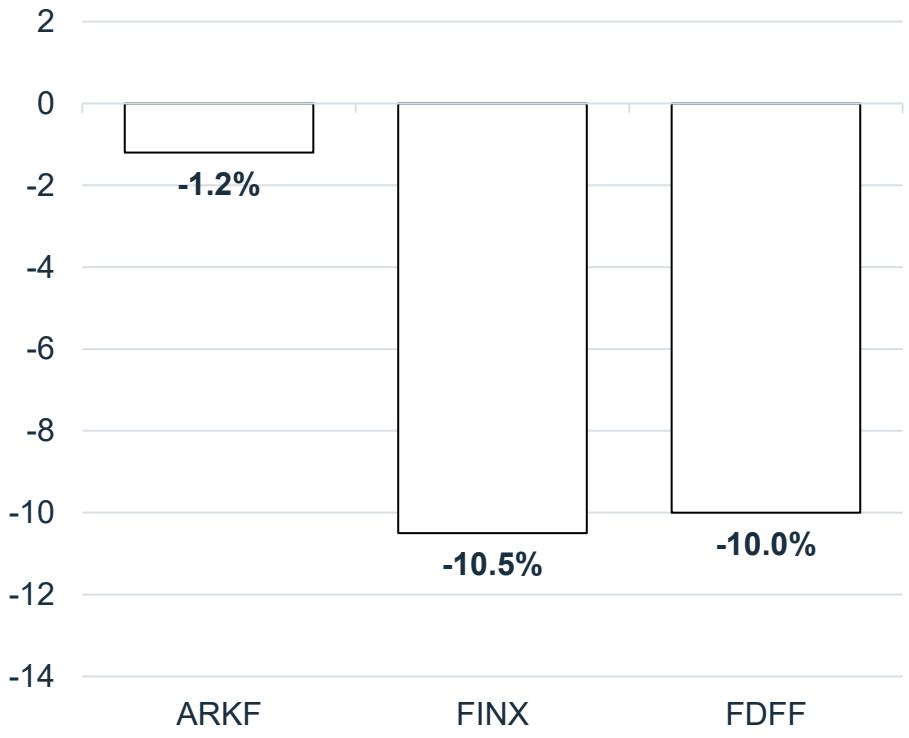
Sources: Federal Reserve FOMC statement | FactSet Earnings Insight

September was weak for fintech ETFs as buybacks paused

S&P 500 WEIGHT IN BLACKOUT (%)



SEP 2026 CHANGE (%)



Blackouts end mid-Oct to Nov. Q4 often rebounds

Sources: Citadel's Rubner via Futunn | Seeking Alpha (Sep 23) | Perplexity Finance data

Why fintech exposure comes as ETFs, not mutual funds

Feature	Mutual fund	Fintech ETF (ARKF, FINX, FDFF)
Pricing	Once a day (NAV)	Intraday; react to earnings and Fed news
Transparency	Periodic holdings	Daily holdings (most)
Margin / short	No	Yes; can hedge crypto beta
Capital gains	Less control	In-kind; more control
Fees	12b-1 possible (e.g., 0.25%); human managers	Index ETFs automated; ARKF active

Intraday trading matters when holdings gap 9-12% on earnings

Sources: Fidelity: ETF tax efficiency | J.P. Morgan AM: tax efficiency | SEC: Rule 12b-1 plan example

Three free tools to check what is inside a fintech ETF

Tool	Fintech use
Morningstar /etfs/arcx/finx/portfolio	Holdings, sector mix, overlap of ARKF vs. FINX
lazyportfolioetf.com	Model portfolios; add a fintech ETF sleeve
portfoliovisualizer.com	Backtest top-10 DIY vs. the ETF

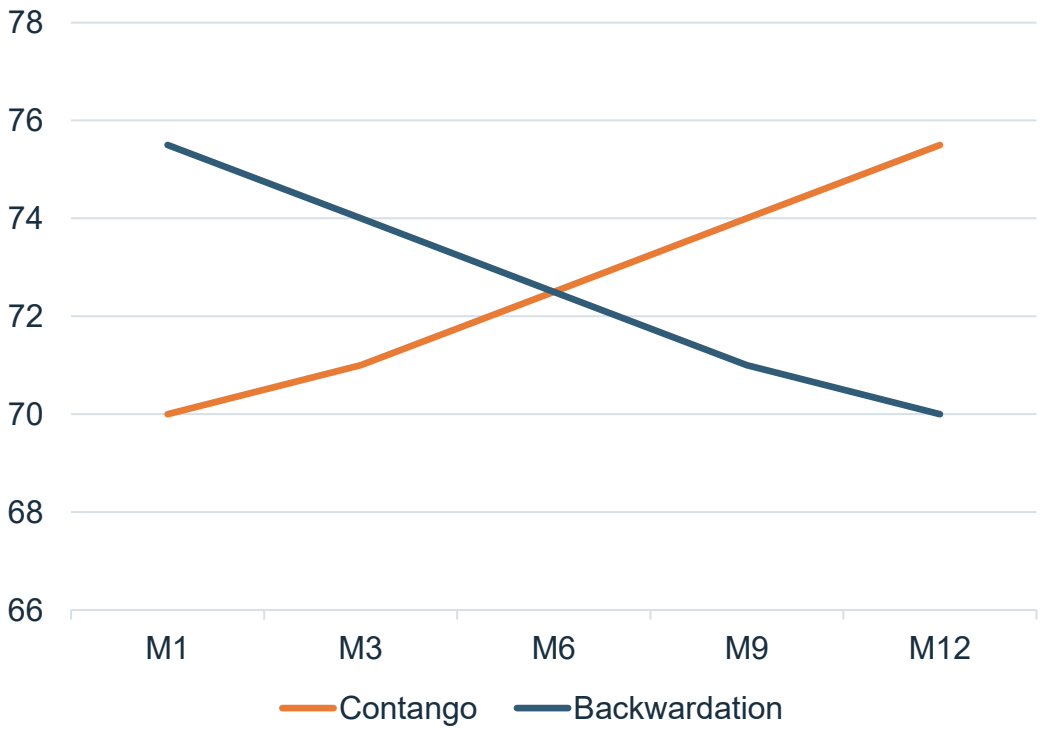
Same holdings? Buy the lowest expense ratio. High fee? Test a DIY top-10.

Check holdings, then backtest the DIY alternative

Sources: Morningstar: FINX portfolio | Lazy Portfolio ETF | Portfolio Visualizer

Fintech equity ETFs have no roll yield. Crypto futures ETFs do

FUTURES CURVE SHAPES, ILLUSTRATIVE ($)



- Contango: later contracts cost more, so rolling loses.
- Backwardation: rolling earns positive carry.
- Our three ETFs hold stocks: no roll.

Check the curve before you buy any futures-based ETF

Sources: Fidelity: contango & backwardation | Perplexity Finance data

Cheap capital can overbuild a theme, like subsidies



- Class idea: subsidies cause overcapacity, then a collapse.
- Fintech analog (our judgment): cheap capital, now repriced by Fed hikes.

Rate hikes now test whether fintech built too much capacity

Sources: Federal Reserve FOMC statement | J.P. Morgan AM: Sept FOMC | Perplexity Finance data

Fund In Focus
ARKF
ARK Fintech Innovation ETF

ARKF is an active blockchain and FinTech conviction portfolio

Current name: ARK Blockchain & Fintech Innovation ETF

INVESTMENT MANDATE

Long-term capital growth. At least 80% in domestic and foreign equities aligned with blockchain and FinTech innovation.

RESEARCH PROCESS

Top-down disruption research combined with bottom-up company analysis. The portfolio can change meaningfully as conviction changes.

KEY SUB-SECTORS

Digital wallets, payments, blockchain, digital assets and enabling technology. Exposure extends beyond traditional finance.

Catherine D. Wood
Portfolio manager
Since inception

ARK Investment Management LLC

Active discretion creates manager and thesis risk.

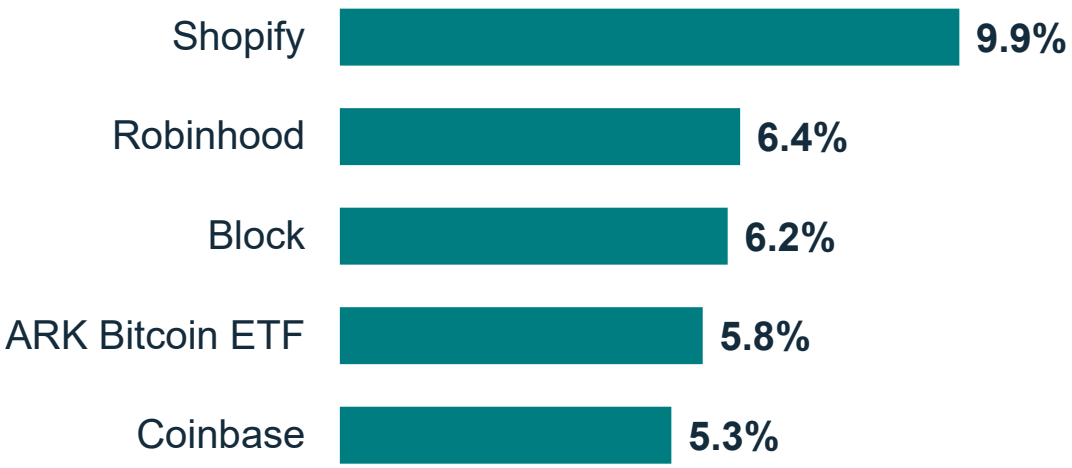
Sources: ARKF Summary Prospectus (11/30/25), portfolio management and strategy sections; ARKF June 30, 2026 fact sheet.

Fund In Focus
ARKF
ARK Fintech Innovation ETF

Concentrated holdings link returns to commerce and digital assets

Issuer portfolio snapshot: June 30, 2026 | Weights are % of fund

LARGEST FIVE HOLDINGS



55.0%

Top 10 concentration

31.8% digital wallets
21.4% next-gen cloud
17.9% cryptocurrencies

ARK technology themes are issuer-defined.

Other top holdings include Toast, AMD, Circle, Palantir and Amazon. Analyst view: returns can reflect AI/cloud and crypto sentiment as well as payment adoption.

Sources: ARKF June 30, 2026 fact sheet, pp. 1–2; ark-funds.com/funds/arkf/; analyst assessment.

Fund In Focus
ARKF
ARK Fintech Innovation ETF

Strong rebounds have not erased the longer-term drawdown

NAV total returns through June 30, 2026; distributions reinvested

Period	ARKF	S&P 500
1 year	−21.32%	+22.32%
3 years, annualized	+23.64%	+20.61%
5 years, annualized	−6.11%	+13.41%

POTENTIAL RETURN DRIVERS[1]

Commerce growth, wallet monetization, crypto activity and adoption of enabling technology.

COMMITTEE ROLE

Small satellite. Accept concentrated equity, crypto, valuation and active-manager risk.

Sources: ARKF June 30, 2026 fact sheet; ARKF Summary Prospectus; [1]analyst sensitivity assessment, not measured attribution.

GLOBAL X by Mirae Asset
FINX FinTech UCITS ETF

FINX delivers rules-based exposure to an evolving FinTech universe

Global X FinTech ETF | Passive index tracking

INDEX AND IMPLEMENTATION

Tracks the Indxx Global FinTech Thematic Index. Uses replication, with representative sampling when appropriate.

PORTFOLIO CONSTRUCTION

Modified market-cap weights; annual reconstitution and rebalance. No discretionary defensive allocation when markets fall.

THEMATIC SCOPE

Payments, marketplace lending, enterprise software, blockchain, crowdfunding and technology-enabled wealth management.

Nam To, CFA
Wayne Xie
Fund managers since 2018 and 2019, respectively

Global X Management Company LLC
Indxx sets index selection and weights.

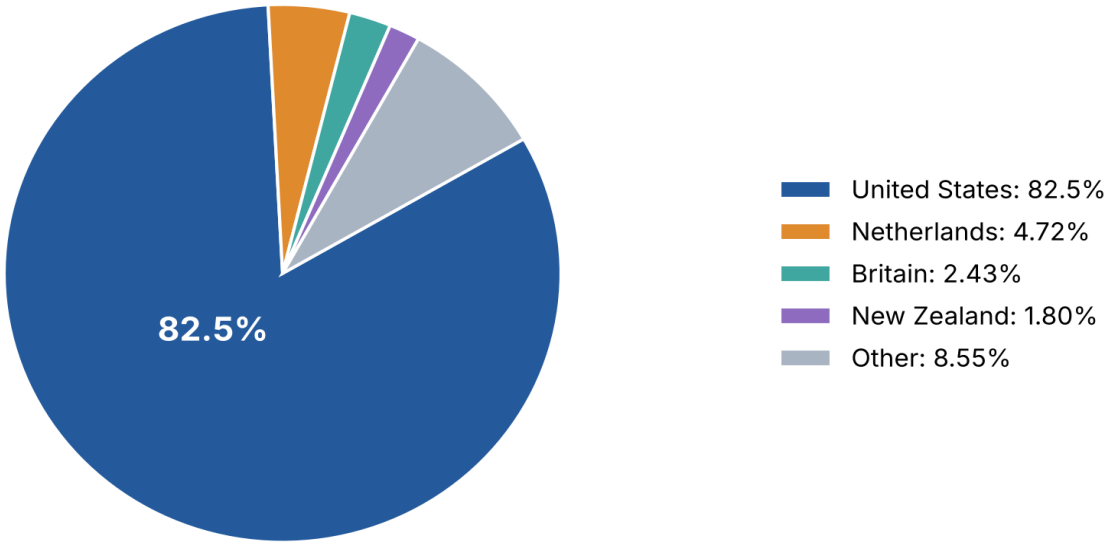
Sources: Global X FINX Summary Prospectus, April 1, 2026, pp. 2–3 and 9; globalxetfs.com/funds/finx/.

GLOBAL X by Mirae Asset
FINX FinTech UCITS ETF

A global mandate remains predominantly U.S. exposure

Issuer equity exposure snapshot: August 31, 2026

DOMICILE WEIGHT (%)



53.65%
Financial services

43.73%
Software & services

Sources: Global X FINX fact sheet, August 31, 2026; assets.globalxetfs.com/funds/documents/finx/Fact-Sheet_FINX.pdf.

GLOBAL X by Mirae Asset
FINX FinTech UCITS ETF

Index discipline still leaves substantial company concentration

Holdings as of September 29, 2026 | Key Drivers per Analyst Assessment

Largest holdings	Weight	Primary sensitivity[1]
Robinhood	8.73%	Trading activity and net deposits
PayPal	6.84%	Payment growth and margins
Block	6.64%	Merchant and Cash App economics
Coinbase	5.59%	Crypto activity and regulation
Fiserv	4.29%	Processing and merchant execution

51.43%

Top 10 weight[2]

- 1-year NAV: −27.04% vs index −26.75%
- Through June 30, 2026; gap: −0.29 pp.
- Theme selection matters more than tracking alone.

Sources: Global X FINX holdings and performance: globalxetfs.com/funds/finx/; [1]analyst judgment; [2]sum of disclosed top 10.

Fidelity Disruptive Finance ETF
FDFF

Active exposure to financial innovation

80%+

Normally invested in disruptive finance companies

Approach

Fundamental stock selection
Quantitative portfolio construction

Michael Kim: quantitative analyst and portfolio manager
Matt Reed: co-management on November 18, 2025

Global opportunity set



46
holdings

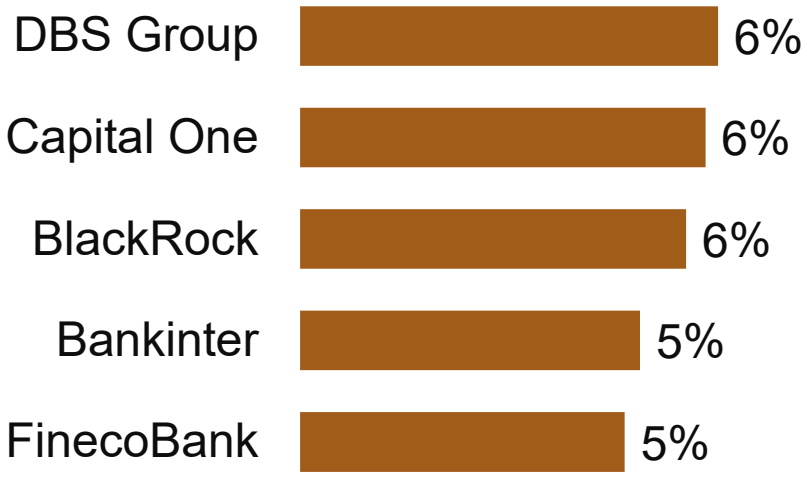
0.50%
expense ratio

Sources:
[1] https://institutional.fidelity.com/app/proxy/content?literatureURL=/9910078.PDF
[2] https://digital.fidelity.com/prgw/digital/research/quote/dashboard/summary?symbol=FDFF

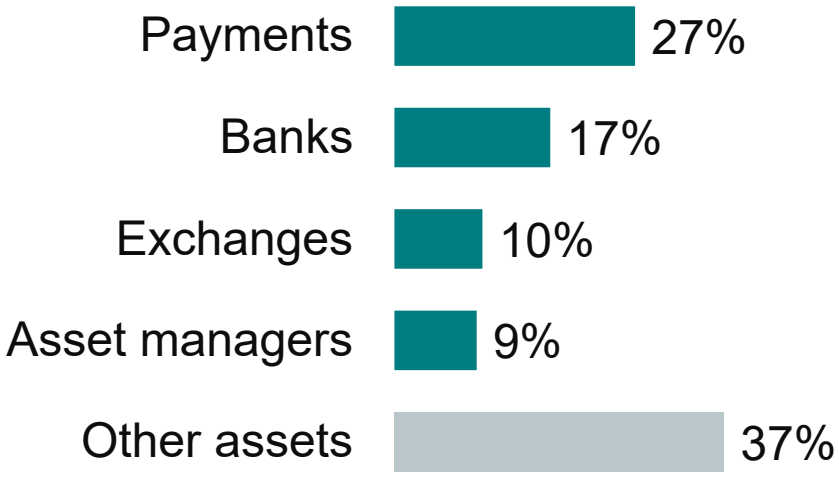
Fidelity Disruptive Finance ETF
FDFF

Financial incumbents anchor the portfolio

Largest five holdings



Industry mix



48%
in the top 10 holdings

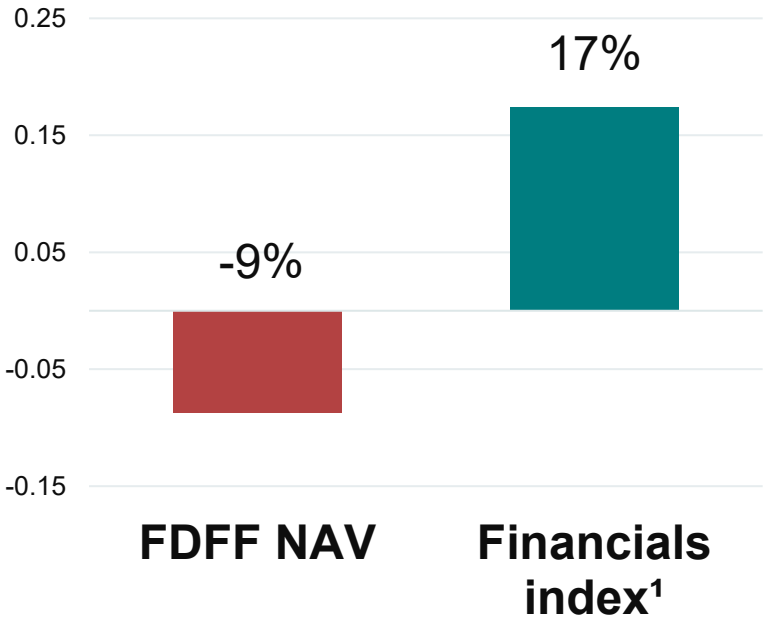
Banks and capital markets add different earnings drivers and risks.

Sources: https://institutional.fidelity.com/app/proxy/content?literatureURL=/9910078.PDF

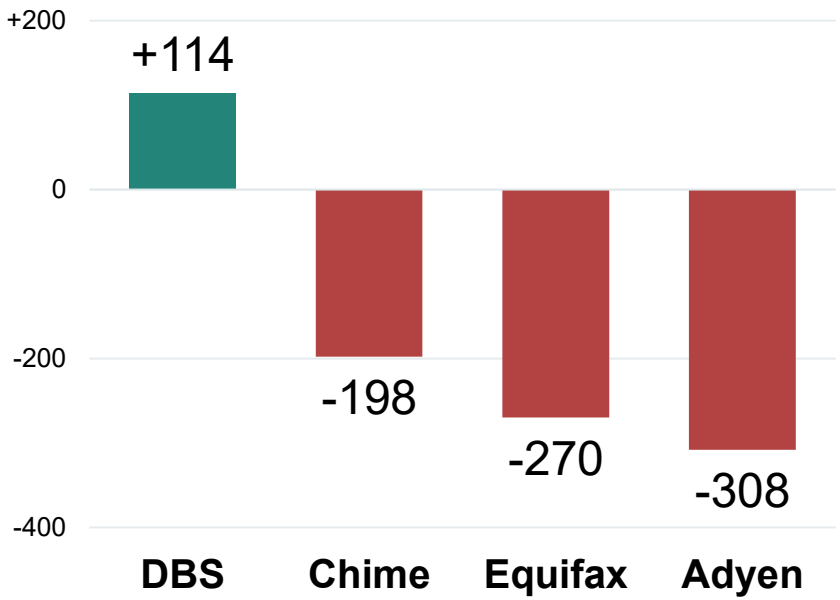
Fidelity Disruptive Finance ETF
FDFF

Payment stocks drove the performance shortfall

Total return



Selected relative contributions



Basis points vs. the financials index¹

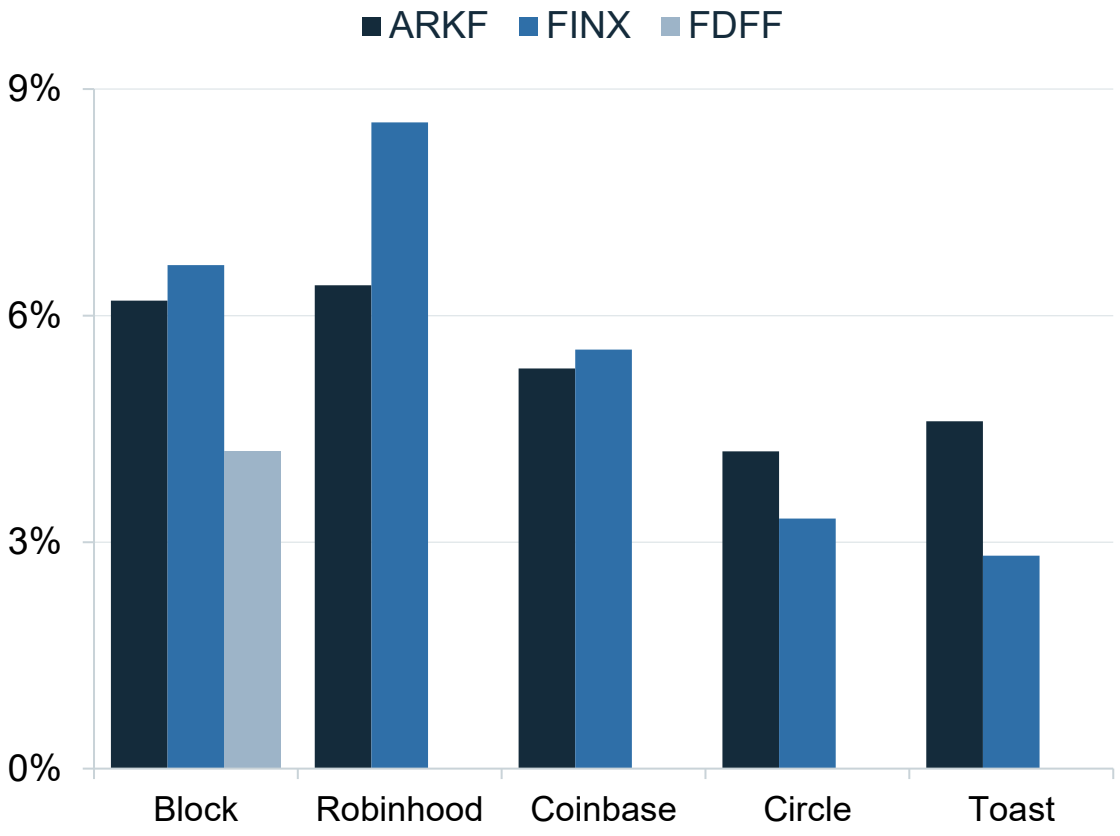
Note: Financials index means MSCI ACWI Financials Equal Weighted Index.
Source: https://www.msci.com/indexes/index/106751/msci-acwi-financials-index

Three ETFs, three different FinTech bets

#	ARKF Bitcoin & commerce	FINX Payments & brokerage	FDFF Banks & asset managers
1	Shopify 9.9%	Robinhood 8.56%	DBS Group 6.00%
2	Robinhood 6.4%	PayPal 6.74%	Capital One 5.82%
3	Block 6.2%	Block 6.67%	BlackRock 5.54%
4	ARK 21Shares BTC 5.8%	Coinbase 5.55%	Bankinter 4.88%
5	Coinbase 5.3%	Fiserv 4.33%	FinecoBank 4.66%
6	Toast 4.6%	Global Payments 4.25%	Visa 4.57%
7	AMD 4.4%	Adyen 4.24%	Mastercard 4.35%
8	Circle 4.2%	Affirm 3.76%	Block 4.21%
9	Palantir 4.2%	SoFi 3.72%	Apollo 4.13%
10	Amazon 4.0%	Intuit 3.61%	Hiscox 3.95%
Top 10	**55.0%**	**51.43%**	**48.10%**

Sources: ARK ARKF fact sheet (6/30/26); Global X FINX holdings (9/30/26); Fidelity FDFF fact sheet (6/30/26)

Block is the only name all three ETFs share



ARKF: only fund with bitcoin

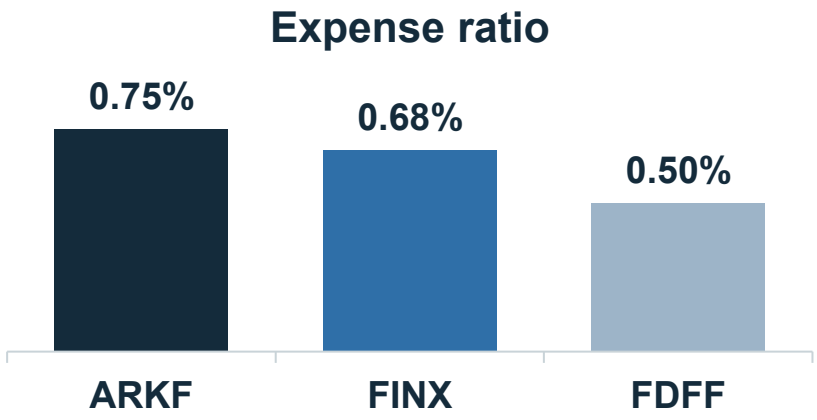
FINX: payment processors

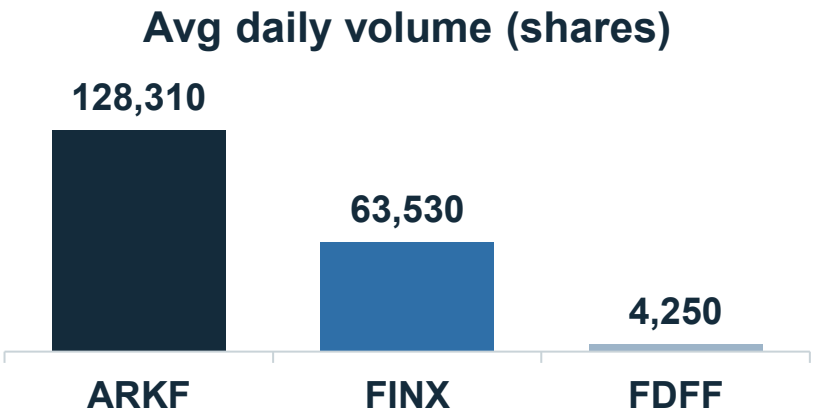
FDFF: banks and asset managers

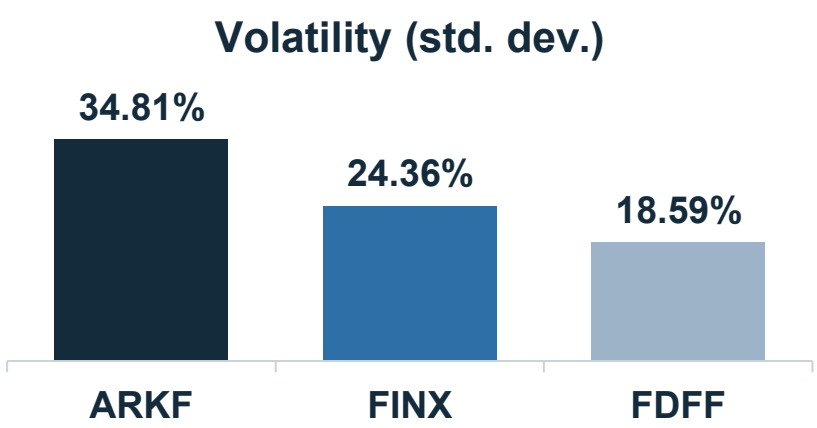
FDFF shares only Block

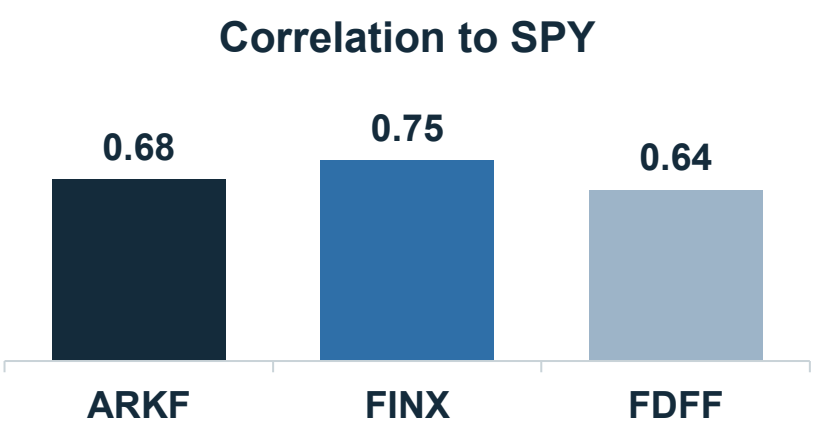
Sources: ARK ARKF fact sheet (6/30/26); Global X FINX holdings (9/30/26); Fidelity FDFF fact sheet (6/30/26)

FDFF is cheapest; ARKF trades most and is most volatile









Sources: Issuer fact sheets; Finviz (9/30/26); Portfolio Visualizer (Jan 2024–Sep 2026); correlation from Digrin monthly prices

FDFF: lowest cost, volatility and correlation; highest dividend

Metric	ARKF	FINX	FDFF
Expense ratio	0.75%	0.68%	0.50%
Avg daily volume	128,310	63,530	4,250
Volatility	34.81%	24.36%	18.59%
Correlation to SPY	0.68	0.75	0.64
Dividend yield	c.0.1%	c.0.8%	c.0.9%
Management	Active	Passive	Active
AUM	$838.7M	$155.0M	$43.0M

Sources: Issuer fact sheets; Finviz (9/30/26); Portfolio Visualizer; Digrin; dividend yields: Digrin, Trackinsight (trailing 12 months)

What to watch for the FinTech industry

Interest rates

Fed at 3.75–4.00% after the Sep 16 hike; higher rates raise funding costs

Regulation

GENIUS stablecoin licensing from Jan 18, 2027; open-banking rules

Payment volumes

Visa payments volume +10% y/y; watch Q3 guidance

Consumer credit

Credit losses at lenders and BNPL providers

Sources: Federal Reserve (9/16/26); U.S. Treasury (GENIUS); CFPB; Visa FYQ3 2026.

What would push each ETF to bull or bear

ETF	Bull driver	Bear driver
ARKF	Bitcoin rally; clear stablecoin rules	Crypto sell-off; growth de-rating
FINX	Payment volumes and trading activity hold	Payment fee pressure; consumer credit losses
FDFF	Higher-for-longer rates lift bank income	Credit cycle turns; rate cuts squeeze banks

Sources: Issuer fact sheets: ARK ARKF (6/30/26), Global X FINX (9/30/26), Fidelity FDFF (6/30/26).

FinTech: 10% of equity for diversification, FDFF majority, ARKF least

Weight	ETF	Why
60%	FDFF	Financial institutions, low volatility, high dividend
30%	FINX	Payments exposure
10%	ARKF	Most risky: least exposure

10%
of total equity

0.72
correlation to SPY: diversifies

c.0.8%
sleeve dividend yield

21.5%
sleeve volatility vs ARKF 34.8%

Sources: Portfolio Visualizer (Jan 2024–Sep 2026); Digrin monthly prices; dividend yields: Digrin, Trackinsight (trailing 12 months).

AI References:

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